

# INDIAN ECONOMY

LEVEL  
II



## LECTURES

AN OVERVIEW ABOUT THE  
CONTROVERSIAL THREE FARM LAWS

MODULE - 57





# CHRONOLOGICAL SEQUENCE OF THE FARM LAWS

- The Government brought three farm laws during September 2020 citing Entry 26, 27 of the State list, which is subject to Entry 33 in the Concurrent List. Inter-state trade is based on Entry 42 in the Union List.
- Subsequently, farmers from parts of Uttar Pradesh, Haryana and Punjab staged protests on the outskirts of Delhi for over a year from October 2020.
- The Supreme Court in January 2021 stayed these three farm laws and appointed the committee with four members.
- Finally, the farm laws were repealed by the Parliament following Prime Minister's announcement on November 19, 2021.

- The committee appointed by the Supreme Court submitted the report, and it was not made public by the Apex Court. However, one of the members made public the report.





## THREE FARM LAWS FOR A LAYMAN'S UNDERSTANDING

1

TO SELL FARMERS' PRODUCE TO ANYONE



2

CONTRACT FARMING



3

NO STOCKHOLDING LIMITS





# HOW CENTRE CAN BRING SUCH LAWS, WHEN AGRICULTURE IS A STATE SUBJECT?

## LIST II (STATE LIST)

- Look at the Entries 14, 26, 27 and 28
  - ✓ Entry 14 ... Agriculture
  - ✓ Entry 26 ... trade and commerce within the State
  - ✓ Entry 27 ... production, supply and distribution of goods
  - ✓ Entry 28 ... markets and fairs
- Entry 26 and 27 are listed as subject to the provisions of Entry 33 of List III.
- Intra-State marketing in agriculture was always considered a legislative prerogative of the States.

## LIST III (CONCURRENT LIST)

For passing the bills, the central Government invoked Entry 33 in the Concurrent List. As already stated, Entry 26 and 27 in List II are listed as subject to Entry 33.

**Moreover, Entry 42 in the Union List gives powers to the Centre for inter-state trade and commerce. Hence, Centre felt that it can decide on trade laws for both inter-State and intra-State.**



## ENTRY 33 IN THE CONCURRENT LIST FACILITATES INTRA-STATE TRADE



**Entry 33, in its present form, was inserted in List III through the Constitution (Third Amendment) Act, 1954.**

Trade and commerce in, and the production, supply and distribution of

- a) the products of any industry where the control of such industry by the Union is declared by Parliament by law to be expedient in the public interest, and imported goods of the same kind as such products
- b) foodstuffs, including edible oilseeds and oils
- c) cattle fodder, including oilcakes and other concentrates
- d) raw cotton, whether ginned or unginned, and cotton seed and
- e) raw jute



1

## FARMERS' PRODUCE TRADE AND COMMERCE (PROMOTION AND FACILITATION) ACT, 2020

### PROVISIONS

- To create an ecosystem where farmers and traders enjoy the freedom to sell and purchase farm produce outside registered 'mandis' under states' APMCs.
- Any FPO / cooperative society / individual persons can establish an electronic trading platform for inter-State and intra-State trade.
- Centre will direct a Central Government organisation to develop a price information and dissemination framework for the benefit of farmers.

### INTENT OF THE ACT

- To promote barrier-free inter-state and intra-state trade of farmers' produce.
- To reduce marketing/transportation costs and help farmers in getting better prices.





# THREE FARM LAWS ... PROVISIONS, INTENTIONS & APPREHENSIONS



1

## FARMERS' PRODUCE TRADE AND COMMERCE (PROMOTION AND FACILITATION) ACT, 2020

### APPREHENSIONS

- 1 States will lose revenue as they won't be able to collect 'mandi fees', if farmers sell their produce outside registered APMC markets.
- 2 What happens to 'commission agents' in states, if entire farm trade moves out of 'mandis'?
- 3 It may eventually end the MSP-based procurement system.
- 4 Electronic trading like in e-NAM uses physical mandi structure. What will happen to e-NAM, if "mandis" are destroyed in absence of trading?

### COUNTER ARGUMENTS

- If one looks at the benefit to the farmers, such type of argument will not stand good.
- With technology, several intermediaries (official and unofficial) got eliminated in several sectors and this is natural phenomena.
- At present, MSP is benefitting around 10% of farmers. Only few states like Punjab, Haryana are benefitted. Hence, the argument is not tenable. Moreover, Govt. gave assurance about MSP.
- e-NAM itself is not successful due to lack of interest by the States. Hence, no logic.



2

## THE FARMER (EMPOWERMENT AND PROTECTION) AGREEMENT OF PRICE ASSURANCE AND FARM SERVICES ACT, 2020

### PROVISIONS



- Farmers can enter into a contract with agribusiness firms, processors, wholesalers, exporters or large retailers for sale of future farming produce at a pre-agreed price.
- Effective dispute resolution mechanism with redressal timelines.

### INTENT OF THE ACT

- Marginal and small farmers, with land up to five acres, to gain via aggregation and contract (Marginal and small farmers account for 86% of total farmers in India).
- To transfer the risk of market unpredictability from farmers to sponsors.
- To enable farmers to access modern tech and get better inputs. Farmers can engage in direct marketing by eliminating intermediaries for full price realization.





2

## THE FARMER (EMPOWERMENT AND PROTECTION) AGREEMENT OF PRICE ASSURANCE AND FARM SERVICES ACT, 2020



### APPREHENSIONS

1 Farmers in contract farming arrangements will be the weaker players in terms of their ability to negotiate what they need.

2 The sponsors may not like to deal with a multitude of small and marginal farmers.

3 Being big private companies - exporters, wholesalers and processors will have an edge in disputes.

### COUNTER ARGUMENTS

→ This is true as farmer is the weaker player and developing farmers' producer organizations hold the key for success of contract farming. Government promoting FPOs in a big way!

→ This is true but this can be overcome with proper regulation/legislative tweaks and bargaining power through FPOs.

→ This area, no doubt, needs continuous monitoring and attention as well as review.



## 3

### THE ESSENTIAL COMMODITIES (AMENDMENT) ACT, 2020

#### PROVISIONS



- It has removed cereals, pulses, onions, potatoes, edible oil and oilseeds from the purview of the Act.
- Stock limits can only be imposed on traders and others, when there is extraordinary price increase to the tune of 100% for horticulture produce and 50% for non-perishables year-on-year.

#### INTENT OF THE ACT

- This provision will attract private sector/FDI into farm sector, as it will remove fears of private investors of excessive regulatory interference in business operations.
- To bring investment for farm infrastructure like cold storages, and modernizing food supply chain.
- To help both farmers and consumers, while bringing in price stability.
- To create competitive market environment and cut wastage of farm produce.



# THREE FARM LAWS ... PROVISIONS, INTENTIONS & APPREHENSIONS



3

## THE ESSENTIAL COMMODITIES (AMENDMENT) ACT, 2020

### APPREHENSIONS

- 1 Price limits set for "extraordinary circumstances" are so high that they are likely to be never triggered.
- 2 Big companies will have the freedom to stock commodities - it means they will dictate terms to farmers, which may lead to less prices for the cultivators.
- 3 Frequent decisions of export bans on onions create doubts about its implementation.

### COUNTER ARGUMENTS

→ If all the reforms are implemented properly, triggering the stock limits may not arise.

→ Why do we worry about such eventuality? If such situation arises, Parliament can amend the law once again. Let us move with good faith and proper implementation with regulatory controls is the key.

→ Yes, Government should not resort to sudden export bans and import bans.





## WHAT IS THE UNDERLYING MESSAGE OF FARM LAWS FIASCO?

### HURRY-BURRY & BULLDOZING LEGISLATIONS HAVE THEIR OWN PITFALLS!

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- 4** In 2006, Bihar completely annulled the **APMC Act** and as per various news reports, exploitation of farmers by **unscrupulous traders** intensified after **2006** and there was no sign of private investment flow into the **agricultural markets**.
- 3** Govt. brought these laws invoking **Entry 33** of the **Concurrent List** to intervene into the matters in **Entry 14**, **Entry 26** and **Entry 27**. The farm laws even interfered with **Entry 28** of the **State List**, which was not subject to **Entry 33** of the **Concurrent List**.

- 1** The biggest problem is the way the laws were brought about through **ordinances** and passed in **Parliament**, without deliberations or consultations with the States.
- 2** It is a long-held constitutional consensus in India that **agricultural marketing** was the legislative arena of State Govts. and hence in **2003**, the Union Govt. prepared a **model act** and sent to States. Similarly, two more model acts were sent in **2017** and **2018**.



# WHAT IS THE UNDERLYING MESSAGE OF FARM LAWS FIASCO?

## HURRY-BURRY & BULLDOZING LEGISLATIONS HAVE THEIR OWN PITFALLS!



**8** The main thrust of the farm laws appears to encourage the participation of **larger corporate players** in agricultural markets, rather than farmer friendly **FPOs / FPCs**.

GOVERNMENTS  
HAVE A LOT TO  
LEARN FROM  
THIS FIASCO!

**5** Maharashtra delisted fruits and vegetables from the **APMCs** in **2016**. Still the inflow of private investments is only marginal.

**6** **Private markets** could not solve the structural problem of poor **farm gate aggregation** of the produce of **small and marginal farmers**.

**7** In contract farming, the weak mechanism - of solving the grievances led by the sub-divisional magistrate - considered a serious impediment to a just **redressal of complaints**.



## COORDINATED & CONSULTATIVE APPROACH IS SINE QUA NON!

**3** The government need introspection as the **Prime Minister** himself apologized for not being able to communicate the laws well, at least to some sections of the people. Clear communication with a view to remove the apprehensions is missing in the entire episode.



**1** The **repeal** does not invalidate the urgent case of **reforms** in the **agriculture sector**, in which incentive mechanisms are skewed and **environmental costs** are unsustainable. But the present episode once again underlines the fact that critical reforms must be pursued in a **coordinated** and **consultative** manner,

DO NOT  
ATTEMPT  
TOO MUCH  
AT ONE GO!

**2** It is a big message that - do not attempt too much at one go, when it comes to sections like farmers. In fact, the farm reforms got clouded by including provisions like **corporate leasing** of **farmland** etc.





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SINCERE THANKS  
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